

Advanced Taxation — Taxation of Business Income: Partnerships and Companies

Course: CPA — Certified Public Accountant

Level: Advanced Level 1

Last updated: 28 July 2026

Syllabus version: Based on the standard KASNEB CPA Advanced Taxation syllabus topic — advanced aspects of the taxation of business income, covering partnerships and limited companies. Authored from general professional tax knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Written against current Kenyan tax law rather than any older reference — note in particular that "compensating tax" under the old Section 7A of the Income Tax Act was abolished by the Finance Act 2018, and that the separate Wear & Tear / Industrial Building Deduction / Investment Deduction regime was replaced by a unified capital-allowance framework from January 2020. Cross-check every rate, threshold, and statutory reference against the current Income Tax Act, the latest Finance Act, and KRA guidance before the exam — these change frequently.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. Case law is referenced by name and general legal principle only (case names and legal outcomes are matters of public record, not anyone's copyrighted expression) — the discussion of each case is original. The worked examples and practice questions are original scenarios — they are not reproductions of any real exam question or any other author's teaching example.

Contents

1. Who is taxed: partnerships vs companies
2. Legal nature of a partnership for tax purposes
3. Is there really a partnership? Tests and case law
4. Computing partnership taxable income
5. Full worked question — partnership profit allocation
6. Corporate residence and corporation tax rates
7. Special corporate tax regimes

8. Instalment tax for companies
 9. Capital allowances — the modern framework
 10. Distribution of profits and dividends
 11. Branches of foreign companies vs subsidiaries
 12. Groups of companies
 13. Full worked question — corporate tax computation
 14. Practice examination — KASNEB-style paper (original, not a past paper)
 15. Marking guide — model answers to the practice examination
 16. Exam technique and revision checklist
-

1. Who is taxed: partnerships vs companies

Kenyan income tax treats these two common business vehicles very differently:

- A **partnership** is not a taxable "person" in its own right. Its profits are computed at partnership level, then allocated to and taxed on the individual partners, at their personal graduated tax rates.
- A **limited company** is a separate legal person and a separate taxable person. It pays corporation tax on its own profits, and shareholders are taxed separately (if at all) on what the company distributes to them.

This single distinction — taxable entity vs taxable-income pass-through — drives almost everything else in this chapter.

2. Legal nature of a partnership for tax purposes

A partnership is the relationship that exists between two or more persons carrying on a business in common with a view to profit. For tax purposes:

- The partnership itself files a return showing its adjusted income, but does not pay tax on that income.
 - Each partner's share of that income is added to their other income (if any) and taxed at their individual graduated rates.
 - A partner's salary and any interest paid to them by the firm are **not** deductible in arriving at the partnership's adjusted profit — they are simply an internal allocation of profit, not a real expense to an outside party.
-

3. Is there really a partnership? Tests and case law

Whether a partnership exists is a question of fact, not of labels. A document titled "Partnership Deed" does not, by itself, create a partnership for tax purposes — and conversely, a genuine partnership can exist without any written deed at all. The courts generally look for:

- A genuine sharing of profits (not merely fixed payments dressed up as a "share").
- Some real contribution — capital, labour, or skill — from each person said to be a partner.
- Evidence of joint control, or at least a joint interest in how the business is run.

Illustrative principles from partnership tax case law (general legal propositions only — not reproduced from any specific textbook's account of the facts):

- A deed that recites a partnership, where in substance one person retains all the capital, all the control, and the "partners" contribute nothing and draw no real profit, does not create a partnership for tax purposes — the substance defeats the label.
- Two parties can be found to be in partnership even without any deed at all, where they genuinely pool a joint commercial venture and share the net result between them.
- Where a business is sold outright, with the outgoing owner remaining briefly to introduce the buyer to clients/customers and preserve goodwill, that temporary arrangement does not itself create a partnership between buyer and seller.
- A partnership for tax purposes is treated as commencing from the date the parties actually begin operating as partners in substance — not from an earlier date a deed is later drawn up to (retrospectively) cover.

Takeaway for the exam: always test a "partnership" scenario against substance (real profit-sharing, real contribution, real joint control) rather than accepting the label given in the question.

4. Computing partnership taxable income

Step 1 — Adjust the accounting profit to a tax basis, in the same way as for a sole trader, but with these partnership-specific add-backs:

- Partners' salaries charged in the accounts — add back (not deductible at partnership level).
- Interest paid to partners on their capital — add back.
- Goods or produce of the business drawn by a partner for personal use — add back at cost (no profit element, since it wasn't a sale to an outsider).
- Deduct capital allowances and any non-taxable income, as usual.

Step 2 — Allocate the adjusted profit to the partners:

- First, allocate each partner's own salary and interest-on-capital back to them individually (these were only added back at Step 1 to compute the tax-adjusted *total*; they still belong to the specific partner who earned them).
- Add back to a specific partner any goods/produce that partner personally drew.
- Share whatever remains — the true "trading" profit — between the partners in their agreed profit-sharing ratio.

5. Full worked question — partnership profit allocation

Scenario. Baraka and Wanjiku trade in partnership as Baraka Hardware, sharing profits and losses 60:40. For the year ended 31 December 2025:

- Net profit per the partnership accounts: KES 3,000,000 (before adjusting for partners' salaries, interest on capital, and capital allowances).
- Partners' salaries charged in the accounts: Baraka KES 360,000; Wanjiku KES 240,000.
- Interest on partners' capital charged in the accounts: Baraka KES 90,000; Wanjiku KES 60,000.
- Goods withdrawn by Baraka for personal use during the year, at cost KES 45,000 — not recorded in the accounts.
- Capital allowances agreed with KRA for the year: KES 180,000.

Required: (a) Compute the adjusted taxable profit of the partnership. (b) Allocate the taxable profit between the two partners.

Solution:

(a) Adjusted partnership profit

	KES
Net profit per accounts	3,000,000
Add: Partners' salaries (360,000 + 240,000)	600,000
Add: Interest on partners' capital (90,000 + 60,000)	150,000
Add: Goods drawn by Baraka, at cost	45,000
Sub-total	3,795,000
Less: Capital allowances	(180,000)
Adjusted taxable profit	3,615,000

(b) Allocation between the partners

	Baraka (KES)	Wanjiku (KES)	Total (KES)
Salary	360,000	240,000	600,000
Interest on capital	90,000	60,000	150,000
Goods drawn (Baraka only)	45,000	—	45,000
Partner-specific items	495,000	300,000	795,000
Balance shared 60:40 (3,615,000 – 795,000 = 2,820,000)	1,692,000	1,128,000	2,820,000
Total taxable share	2,187,000	1,428,000	3,615,000

Each partner then adds their share to any other personal income they have, and pays tax at their individual graduated rates.

6. Corporate residence and corporation tax rates

A company is resident in Kenya if it is incorporated under Kenyan law, or if its management and control is exercised in Kenya during the year, or if it is gazetted as resident.

- **Resident companies** pay corporation tax on their worldwide business profits at the standard resident rate.
- **Non-resident companies with a Kenyan branch (permanent establishment)** pay corporation tax on Kenya-sourced profits at a higher flat rate than resident companies.
- **Non-resident companies with no branch in Kenya** generally suffer withholding tax on Kenya-sourced payments instead of filing and paying corporation tax directly.

Always confirm the exact current resident and non-resident rates from the latest Finance Act before using them in a computation — these percentages are adjusted from time to time.

7. Special corporate tax regimes

Kenyan tax law has, at various times, offered preferential corporate tax treatment to encourage specific kinds of investment. Categories commonly examined include:

- **Newly listed companies** — a reduced corporation tax rate for a limited number of years after listing on a securities exchange, often tiered by the percentage of share capital actually listed.

- **Export Processing Zone (EPZ) enterprises** — typically a tax holiday for an initial period, followed by a reduced rate for a further period, plus VAT and import-duty benefits on inputs used for export production.
- **Extractive industries (mining, and oil & gas)** — special rates and allowances tailored to the long lead times and heavy upfront capital investment these sectors require.

The precise rates, qualifying conditions, and holiday periods for each regime change frequently — treat the categories above as a checklist of "special regimes to consider," and look up current rates rather than memorising old ones.

8. Instalment tax for companies

Companies are required to pay corporation tax in instalments during the year of income itself, rather than waiting until the return is filed, based on the lower of the current year's estimated tax or a proportion of the prior year's tax liability. The general structure examined is:

- Instalments are paid at fixed points during the year of income (commonly expressed as a percentage of the total estimated tax due, payable by a set day of a specified month).
- A final balancing payment is then due after the instalments, once the actual tax liability for the year is known — this "settles up" any difference between instalments paid and actual tax due.
- Businesses in the agricultural sector have historically been allowed a different instalment pattern, reflecting the seasonal nature of farming income.

Always verify the exact current instalment percentages and due dates from KRA/the current Finance Act — this schedule has been revised more than once and a stale schedule is a common source of lost exam marks.

9. Capital allowances — the modern framework

Kenyan tax law does not allow a deduction for capital expenditure or for accounting depreciation — instead, Parliament prescribes a set of standard **capital allowances** that substitute for depreciation, computed on the tax-written-down value of qualifying assets.

Historically, this was split across several separate schemes (investment deduction, wear and tear allowance, industrial building deduction, and so on, each with its own rules). Since a broad reform of the Second Schedule to the Income Tax Act, most of these have been consolidated into a **single capital-allowance framework**, with qualifying assets grouped into prescribed classes, each carrying its own prescribed rate.

For exam purposes, focus on the underlying logic rather than memorising a specific rate table, since rates are revised periodically:

- Only capital expenditure on qualifying assets used in the business attracts an allowance — private-use assets and non-qualifying expenditure do not.
- The allowance is generally computed on a declining-balance basis on the tax-written-down value carried forward from the prior year, plus additions, less disposals, in each class.
- A handful of categories (certain manufacturing/hotel buildings, and a few incentive categories) may attract a much higher, sometimes 100%, first-year-type deduction as a specific investment incentive.

Always confirm the current class definitions and rates against the current Second Schedule and KRA practice notes before applying them in a computation.

10. Distribution of profits and dividends

A company may retain its after-tax profits, distribute them as dividends, or do both. Current Kenyan practice:

- Dividends paid by a company are generally subject to withholding tax at the prescribed rate (with different rates for resident vs non-resident recipients, and various exemptions — e.g. dividends between companies in the same group, above a minimum shareholding threshold, are commonly exempt).
 - **There is no longer a "compensating tax" mechanism.** The old Section 7A compensating-tax regime — which used to claw back tax where a company distributed dividends out of profits that had not themselves been fully taxed (e.g. gains on disposal of investments) — was abolished by the Finance Act 2018. Any older material describing a "dividend tax account" or "compensating tax" computation is describing law that no longer applies and should not be used in a current exam answer.
-

11. Branches of foreign companies vs subsidiaries

A non-resident company can operate in Kenya either through a **branch** (an extension of the foreign company, taxed on Kenya-sourced profits at the non-resident company rate) or through a **locally incorporated subsidiary** (a separate Kenyan-resident legal person, taxed at the resident company rate, and which can itself pay dividends).

Key distinctions commonly examined:

- A branch does not suffer withholding tax when it remits its after-tax profits back to its foreign head office — there is no separate "dividend" event, since branch and head office

are the same legal person.

- Deductions for a branch's expenditure incurred outside Kenya (e.g. head-office overheads, management fees) are restricted, and the tax authority may disallow amounts it considers unreasonable or unsubstantiated.
 - Sales made from abroad of goods that were produced in Kenya by the branch can still be treated as Kenya-sourced income and brought into charge.
-

12. Groups of companies

Kenyan tax law treats each company in a group as a separate legal and taxable person — there is no "group taxation" regime allowing profits of one group company to be offset against losses of another, and no requirement (or ability) to file a single consolidated tax return for a group.

Two related-party rules do matter for groups:

- Where a qualifying capital asset is transferred between companies under common control, the transfer is normally deemed to occur at open market value for capital-allowance purposes — though the transacting companies may, in some circumstances, jointly elect for the tax-written-down value to apply instead, to avoid crystallising a taxable gain purely because of an internal restructuring.
 - Dividends paid between resident group companies are commonly exempted from further tax in the recipient's hands once a minimum shareholding/voting-power threshold is met.
-

13. Full worked question — corporate tax computation

Scenario. Nyota Manufacturers Ltd, a resident company, reported an accounting profit before tax of KES 8,500,000 for the year ended 31 December 2025. The following had already been charged/credited in arriving at that figure:

- Depreciation charged: KES 1,200,000 (not an allowable tax deduction).
- Entertainment costs disallowable for tax purposes: KES 150,000.
- A fine paid to a regulatory authority (not tax-deductible): KES 80,000.
- Exempt interest income already credited in the accounts: KES 60,000.
- Capital allowances agreed with KRA for the year: KES 950,000.

Required: Compute the company's taxable profit and its corporation tax payable, assuming a standard resident corporate tax rate of 30%.

Solution:

	KES
Accounting profit before tax	8,500,000
Add: Depreciation	1,200,000
Add: Disallowable entertainment	150,000
Add: Fine (not deductible)	80,000
Less: Exempt interest income	(60,000)
Less: Capital allowances	(950,000)
Taxable profit	8,920,000
Corporation tax at 30%	2,676,000

Reminder: always confirm the resident corporate rate applicable for the year in question before applying it — 30% is used here as an illustrative current-era rate, not a fixed constant.

14. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB CPA Advanced Taxation paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

CPA ADVANCED LEVEL 1 — ADVANCED TAXATION (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- Explain, using the concept of "substance over form," why a document titled "Partnership Deed" does not by itself prove that a partnership exists for tax purposes. (6 marks)
- Outline the treatment of partners' salaries and interest on capital when computing the adjusted taxable profit of a partnership. (6 marks)

(c) Explain the steps followed in allocating a partnership's adjusted taxable profit between its partners. *(8 marks)*

(Total: 20 marks)

QUESTION TWO

Juma and Naliaka trade in partnership as JN Traders, sharing profits and losses equally. For the year ended 31 December 2025, the partnership's net profit per the accounts was KES 4,200,000, before adjusting for the following, all charged in the accounts: partners' salaries (Juma KES 300,000; Naliaka KES 300,000), interest on partners' capital (Juma KES 50,000; Naliaka KES 40,000), and goods withdrawn by Naliaka for personal use at a cost of KES 30,000. Capital allowances agreed with KRA for the year amounted to KES 220,000.

Required:

(a) Compute the adjusted taxable profit of the partnership. *(8 marks)*

(b) Allocate the taxable profit between Juma and Naliaka. *(8 marks)*

(c) State the individual tax treatment applied to each partner's share once allocated. *(4 marks)*

(Total: 20 marks)

QUESTION THREE

(a) Distinguish between how a non-resident company operating through a Kenyan branch is taxed, and how a locally incorporated subsidiary of the same foreign parent would be taxed. *(8 marks)*

(b) Explain why a branch does not suffer withholding tax when remitting after-tax profits to its foreign head office. *(4 marks)*

(c) Explain the tax treatment of qualifying capital assets transferred between two companies under common control. *(8 marks)*

(Total: 20 marks)

QUESTION FOUR

(a) Explain what "compensating tax" was under the former Section 7A of the Income Tax Act, and state its current status. *(6 marks)*

(b) Outline the general logic used to compute capital allowances under the modern, consolidated capital-allowance framework. *(8 marks)*

(c) State three special corporate tax regimes an examiner might test, and briefly describe the incentive each offers. (6 marks)

(Total: 20 marks)

QUESTION FIVE

Amani Manufacturers Ltd, a resident company, reported an accounting profit before tax of KES 6,000,000 for the year ended 31 December 2025. Depreciation of KES 900,000 and a disallowable donation of KES 50,000 had been charged in the accounts. Exempt income of KES 40,000 was credited in the accounts. Capital allowances agreed with KRA for the year were KES 700,000.

Required:

(a) Compute the company's taxable profit for the year. (10 marks)

(b) Compute the corporation tax payable, assuming a resident corporate tax rate of 30%. (4 marks)

(c) Explain why Kenyan tax law does not permit a group of companies to file one consolidated tax return. (6 marks)

(Total: 20 marks)

15. Marking guide — model answers to the practice examination

QUESTION ONE

(a) (6 marks) — A partnership is defined by the genuine relationship between the parties (real profit-sharing, real contribution, real joint control), not by what a document calls itself. A deed reciting a partnership, where in substance one person retains all the capital and control and the other "partners" contribute and draw nothing real, does not create a partnership for tax purposes — the substance of the arrangement overrides the label given to it.

(b) (6 marks) — Both are added back (disallowed) in computing the partnership's tax-adjusted profit, because they are not real payments to an outside party — they are simply an internal allocation of the firm's own profit to a specific partner, to be reintroduced at the allocation stage.

(c) (8 marks) — First, allocate each partner's own salary and interest-on-capital directly to them. Second, add back to a specific partner any goods/produce that partner personally drew from the business. Third, share the remaining trading profit between the partners according to their agreed profit-sharing ratio.

QUESTION TWO

(a) (8 marks)

	KES
Net profit per accounts	4,200,000
Add: Salaries (300,000 + 300,000)	600,000
Add: Interest on capital (50,000 + 40,000)	90,000
Add: Goods drawn by Naliaka	30,000
Sub-total	4,920,000
Less: Capital allowances	(220,000)
Adjusted taxable profit	4,700,000

(b) (8 marks)

	Juma (KES)	Naliaka (KES)	Total (KES)
Salary	300,000	300,000	600,000
Interest on capital	50,000	40,000	90,000
Goods drawn	—	30,000	30,000
Partner-specific items	350,000	370,000	720,000
Balance shared equally (4,700,000 – 720,000 = 3,980,000)	1,990,000	1,990,000	3,980,000
Total taxable share	2,340,000	2,360,000	4,700,000

(c) (4 marks) — Each partner adds their allocated share to any other personal income they have, and is taxed on the combined total at their own individual graduated tax rates; the partnership itself pays no tax on this income.

QUESTION THREE

(a) (8 marks) — A branch is not a separate legal person from its foreign parent; it is taxed only on its Kenya-sourced profits, typically at a higher flat non-resident rate. A locally incorporated subsidiary is a separate Kenyan-resident legal person in its own right, taxed on its own profits at the standard resident rate, and can itself declare dividends to its shareholders (including its foreign parent).

(b) (4 marks) — Branch and head office are legally the same person, so a remittance of profit from branch to head office is not a distribution to a separate shareholder — there is no

"dividend" event to withhold tax on.

(c) (8 marks) — The transfer is normally deemed, for capital-allowance purposes, to occur at open market value. However, where this would otherwise crystallise a taxable balancing charge purely because of an internal group restructuring, the two companies may jointly elect for the transfer to instead be treated as occurring at tax-written-down value, provided both companies are resident in Kenya.

QUESTION FOUR

(a) (6 marks) — Compensating tax was an additional tax that could arise where a company declared dividends out of profits that had not themselves been fully taxed (e.g. certain capital gains or other exempt/lightly-taxed income), to prevent shareholders receiving effectively untaxed income as a dividend. It was abolished by the Finance Act 2018 and no longer applies — current exam answers should not compute a "compensating tax" or "dividend tax account" figure.

(b) (8 marks) — Qualifying capital expenditure is grouped into prescribed classes; each class carries its own prescribed allowance rate; the allowance is generally computed on the tax-written-down value carried forward plus additions less disposals in that class (a declining-balance approach); a small number of incentive categories may instead qualify for a much higher, sometimes 100%, deduction as a specific investment incentive.

(c) (6 marks — any three) — Newly listed companies (reduced rate for a set period post-listing, often tiered by percentage of capital listed); Export Processing Zone enterprises (initial tax holiday, then a reduced rate, plus VAT/duty benefits on export inputs); extractive industries/mining (special rates and allowances reflecting high upfront capital investment).

QUESTION FIVE

(a) (10 marks)

	KES
Accounting profit before tax	6,000,000
Add: Depreciation	900,000
Add: Disallowable donation	50,000
Less: Exempt income	(40,000)
Less: Capital allowances	(700,000)
Taxable profit	6,210,000

(b) (4 marks) — Corporation tax = $6,210,000 \times 30\% = \text{KES } 1,863,000$.

(c) (6 marks) — Kenyan tax law treats each company, including each member of a group, as a separate legal and taxable person. There is no statutory mechanism allowing profits of one group company to be offset against losses of another, or requiring/permitting a single consolidated return for the group — each company must file and be assessed on its own results.

16. Exam technique and revision checklist

- Partnership questions: always separate the two stages — first adjust the *partnership's* total profit to a tax basis, then allocate that adjusted profit to the *individual partners*. Mixing the two stages is the most common source of error.
- When allocating partnership profit, remember that salary, interest on capital, and any goods a specific partner drew belong to that partner alone — only the true trading balance is shared in the profit-sharing ratio.
- Never compute a "compensating tax" or "dividend tax account" figure in a current answer — that regime was abolished; if a question describes facts resembling it, address the current withholding-tax treatment of the dividend instead.
- For capital allowances, describe the current consolidated framework and its logic rather than quoting a specific historic rate you are not certain is still current — state the logic, and note that the exact class/rate should be confirmed against the current Second Schedule.
- Branch-vs-subsidary questions: always state explicitly which entity is taxed (the branch itself, or the separately incorporated subsidiary) and at which rate, before discussing any secondary issues like profit remittance or dividend withholding tax.
- Group-of-companies questions: lead with the core principle — no consolidated group taxation in Kenya — before discussing the narrower related-party rules (asset transfers, intra-group dividend exemptions) that do apply.

Quick revision — one line per topic:

1. Partnerships are not taxed as an entity; their adjusted profit is allocated to, and taxed on, the individual partners.
2. A partnership's existence is a question of fact (substance), not the label on a document.
3. Partners' salaries and interest on capital are added back at partnership level, then reintroduced to the specific partner at the allocation stage.
4. Resident companies and non-resident branches are taxed at different rates; verify current rates before use.
5. Instalment tax is paid progressively during the year of income, with a final balancing payment once actual liability is known.

6. Capital allowances have been consolidated into a single class-based framework since the 2020 reform — verify current class rates.
 7. Compensating tax (old Section 7A) was abolished by the Finance Act 2018 — do not use it in current answers.
 8. A branch and its foreign head office are the same legal person, so profit remittance is not a dividend event.
 9. Related-party asset transfers are normally deemed at market value for capital allowances, subject to a joint election for tax-written-down value.
 10. Kenya has no consolidated group taxation — every company in a group is assessed separately.
-

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus, the Income Tax Act, the latest Finance Act, and examiner's reports for the paper.